

The Intermediate Term Wave

As the weekly chart illustrates [see Figure 18-2], the fifth impulse wave, which began in the third quarter of 1977, subdivided into a clear five waves and traced out a near-perfect Elliott trend channel. Again the third wave is the strongest in the sequence and in fact is elongated in what Elliott called an "extension." In terms of Fibonacci, wave ⑤ travels just 13 points beyond a perfect .618 multiple of the distance from the beginning of the entire wave to the peak of wave ③.

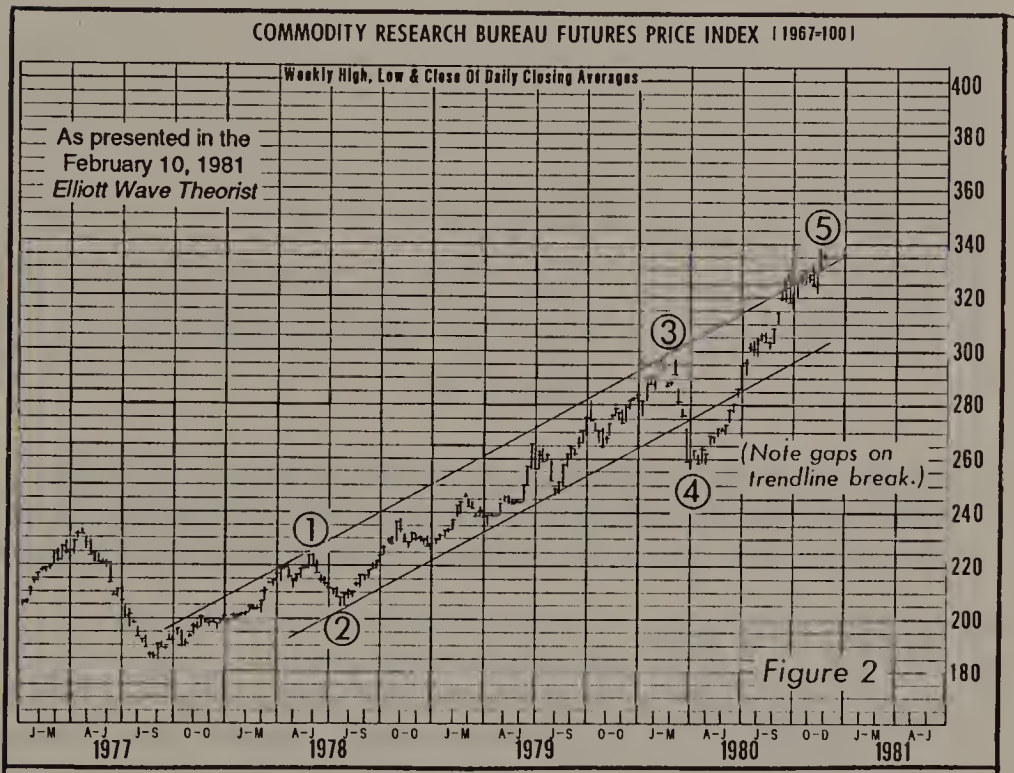


Figure 18-2

The Near Term Wave

The daily chart [see Figure 18-3] shows the breakdown of wave ⑤. This wave contains a typical extended third wave and a fifth wave with typical diagonal triangle properties of overlapping. Elliott's channeling techniques contain the wave perfectly up until the final stages of the fifth wave. As far as Fibonacci relationships, this wave is no exception to Elliott guidelines of normal wave behavior. The rise from the low to the peak of wave (3), multiplied by .618, gives a target of 333 when added to the low of wave (4). At this particular juncture in November, then, several Fibonacci